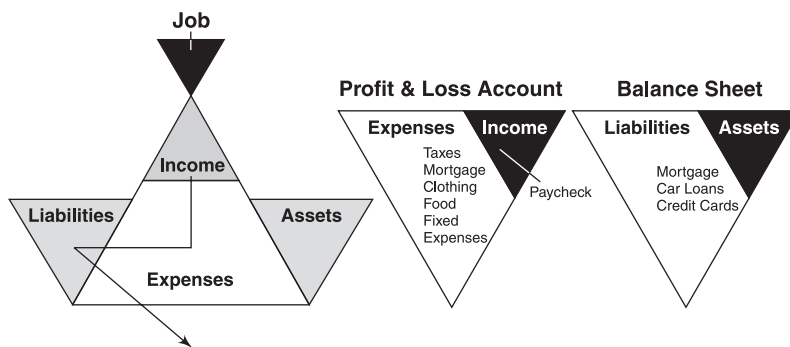




Cash Flow of the Middle Class

A majority of the customers of banks and consumer goods companies come from the middle class. It is not because of their inherent purchasing power but because they happen to be attractive borrowers. They are cautious about money yet, as they strive to improve their standard of living they get increasingly into debt. All their lives they work to pay off their mortgages, credit card bills, car loans, etc. They start small, like taking a loan to buy a two-wheeler, but soon their desires increase and they want to buy a car. So they go to the bank and take a car loan to fulfil their desire. With a bigger loan the outgoings increase and they desperately look for a hike in their salary. The hike comes and with it the desire to buy a bigger car. So the bank offers them a bigger loan. And this goes on and on. Expenses mount and any increase in salary is soon nullified. Only the liabilities increase; no effort is made to increase the asset. They don't realise that they have started working for the bank also (by taking up liabilities). Now they work for two bosses. One who provides the job, and the bank to whom they give the interest, mortgages, etc? This is the cash flow of the middle class. See Figure 11.3.

FIGURE 11.3



Cash Flow Pattern of the Middle Class